

4.1 Income Statement & Balance Sheet

The income statement is prepared for one of the following time periods:

1st April 20XX to **31st March 20XX**
 (12 Months) **(Annually)**

1st Jan 20XX to **31st March 20XX**
 (3 Months) **(Quarterly)**

Hence, the income statement lists a company's revenues and expenses for the year, and the difference between the two is the company's **Net profit or Net loss**.

Lets understand this with an example:

Reliance consists of three sales channel:



Petrochemical	Rs. 30,000 Cr.
Jio	(+) Rs. 20,000 Cr.
Reliance Retail	(+) Rs. 20,000 Cr.
Total Sales	Rs. 70,000 Cr.

The company has incurred **Rs. 50,000 Cr. in expenses** as a result of its sale.

Profits Rs. 20,000 Cr.
(-) Rs. 6,000 Cr. taxed at 30%

The net profit after tax is Rs. 14000 Cr.

This is how an income statement works, and net profit or loss is generated over a certain time frame.